

THE GOLDMAN SACHS GROUP, INC.

GS — Equity Research: Fundamental & Technical Analysis

Report date: August 30, 2026 | Sector: Financials / Capital Markets | NYSE: GS | Prepared for informational/educational purposes only

LAST PRICE (28-AUG)	MARKET CAP	52-WK RANGE	CONSENSUS PT
\$1,033.99	~\$309B	\$691 - \$1,125	\$1,141.65
P / TANGIBLE BOOK	2Q26 ROTE (ANN.)	TRAILING P/E	DIVIDEND YIELD
3.07x	25.5%	16.0x	1.93%

EXECUTIVE SUMMARY

Goldman Sachs is a balance sheet with a franchise attached to it. Roughly three-quarters of its revenue comes from Global Banking & Markets — advising on and underwriting deals, and intermediating and financing client trades in fixed income, currencies, commodities and equities — with the remainder from Asset & Wealth Management and a small, shrinking Platform Solutions unit. Because a bank's earnings are a return earned on a stock of regulatory equity rather than a margin on sales, its valuation compresses into one number: the return on tangible common equity the firm can sustain through a full cycle. Everything else in this report is scaffolding around that variable.

The recent trajectory has been extraordinary. Net revenues went from a \$13-15bn quarterly band through 3Q25 to \$17.23bn in 1Q26 and a record \$20.34bn in 2Q26; diluted EPS reached a record \$20.98, beating consensus by roughly 46%; and annualised ROE and ROTE hit 23.5% and 25.5% against 12.8% and 13.6% a year earlier. Management raised the quarterly dividend 11% to \$5.00 and repurchased \$4.0bn of stock in the quarter. The drivers were a 90% surge in large-cap M&A volumes, a record \$7.42bn equities quarter, and an AI-infrastructure financing cycle that management says has pushed the investment-banking backlog to a five-year high. The stock has followed, roughly a 50% gain over twelve months to a \$1,125 high on the 2Q26 print.

The debate is whether that is a peak or a plateau. At \$1,034 the stock trades at 3.07x tangible book. Reverse-engineering the standard relationship between price/tangible book and returns, the current price embeds a sustainable ROTE of roughly 24% — against management's own published through-the-cycle target of 15-17% and an FY2025 actual of 16.0%. Against that, the stock screens cheap versus peers on spot returns: Morgan Stanley earns a comparable ROTE at ~4.0x tangible book and JPMorgan a lower one at ~3.3x. Sell-side opinion is genuinely split, with visible targets from \$900 (JPMorgan, Neutral) to a consensus near \$1,142 and at least one outright Underperform. This report lays out the mechanics and the levers; it does not resolve the debate and is not a recommendation.

WHAT THIS REPORT COVERS

- Business mechanics — where a dollar of GS revenue actually comes from, and the capital it is earned on
- Industry, competitive and regulatory landscape — including the March 2026 US capital proposals

- Financial analysis — eight quarters of revenue, returns, book value and capital, plus the ROTE driver model
- Valuation — peer P/TBV against ROTE, two reconciled methods, and a bear/base/bull framework
- Technical analysis — price structure, moving averages and positioning
- Risks and forward catalysts — the specific, named things that could move this stock next

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1. BUSINESS MODEL & MECHANICS

1.1 A return on regulatory equity, not a margin on sales

The unit of production at Goldman Sachs is capital. The firm holds a stock of common equity against risk-weighted assets, is told by regulators how much it must hold, and earns a return on it. In 2Q26 the firm ran \$2.13tn of total assets and \$123bn of shareholders' equity, of which about \$100bn was tangible common equity after stripping preferred stock, goodwill and intangibles. On that base it generated \$6.63bn of net earnings in a single quarter — a 25.5% annualised return on tangible common equity. The corollary is that GS's share price is not usefully expressed as a multiple of revenue or EBITDA. Debt is raw material for a dealer, not leverage in the industrial sense, so enterprise value has no economic content here. The multiple that matters is price to tangible book, and it is mechanically anchored to ROTE.

1.2 Where the revenue comes from

Revenue line (2Q26)	\$mm	vs 2Q25	What it is
Advisory	1,378	+17%	M&A advice; fees crystallise on completion, so this tracks completed deal volume with a lag
Equity underwriting	985	+130%	IPOs and secondary offerings
Debt underwriting	1,032	+75%	Record; driven by leveraged finance and asset-backed activity
FICC intermediation	3,376	+39%	Market-making in rates, commodities, mortgages, currencies, credit
FICC financing	1,216	+14%	Record; secured lending against fixed-income collateral
Equities intermediation	4,157	+60%	Record; derivatives and cash equities market-making
Equities financing	3,259	+91%	Record; prime brokerage — lending to hedge funds against equity collateral
Management and other fees	3,355	+20%	Record; recurring fees on \$4.04tn of assets under supervision
Incentive fees	112	+9%	Performance fees on alternatives
Private banking and lending	689	(13)%	Down on lower net interest margin on Marcus deposits
Investments	441	+222%	Gains on the firm's own private-equity holdings — lumpy and non-recurring
Platform Solutions	221	(64)%	Apple Card markdowns; portfolio held for sale since 4Q25

Two things stand out. First, the growth is overwhelmingly in the market-sensitive lines: equities financing nearly doubled and equities intermediation rose 60%, while the genuinely recurring line — management fees on assets under supervision — grew a much more sober 20%. Second, prime brokerage (equities financing) is now one of the largest single revenue lines in the firm at \$3.26bn a quarter. That matters for Section 7: prime brokerage is lending against concentrated, correlated collateral, and it is precisely the activity the SEC subpoenaed four banks about in August 2026.

1.3 Segment returns are not equal

Segment (2Q26)	Net revenues (\$mm)	Avg. common equity (\$mm)	Return on avg. common equity
Global Banking & Markets	15,520	81,817	27.5%
Asset & Wealth Management	4,597	23,822	13.8%
Platform Solutions	221	3,425	(5.8)%

This table is the strategic tension in one frame. Management's narrative is a shift toward durable, fee-based Asset & Wealth Management earnings, and it has been buying to get there — Industry Ventures, Innovator Capital Management, LCN Capital and, announced on 12 August 2026, NEOS Investments for up to roughly \$2.25bn. But AWM earns 13.8% on its allocated equity while GBM earns 27.5%. In the current environment, mix-shifting toward AWM would *lower* the firm's blended return, not raise it. The firm's headline ROTE is high because the cyclical business is at a cyclical peak, and GBM's share of net revenues has risen from roughly 69% to 76% over the past year.

1.4 Capital structure, capital return and ownership

- **Capital.** Standardized CET1 ratio of 12.9% at 2Q26 — down from 14.3% at 4Q25. The supplementary leverage ratio fell from 5.2% to 4.3% over the same two quarters. Management has described the CET1 position as roughly 150bp above its regulatory minimum.
- **Funding.** \$558bn of deposits (consumer \$228bn, private bank \$101bn, transaction banking \$83bn, brokered CDs \$52bn, sweep programmes \$42bn, other \$52bn) and \$348bn of unsecured long-term borrowings.
- **Credit.** \$261bn of loans, ~85% secured, allowance-to-gross-loans of 0.9% and an annualised net charge-off rate of 0.3% in 2Q26. Provisions were only \$102mm in the quarter.
- **Capital return.** \$5.36bn returned in 2Q26 — \$4.00bn of buybacks (4.1mm shares, ~\$976 average) and \$1.36bn of dividends. The quarterly dividend rises to \$5.00 in 3Q26, up 25% year on year.
- **Ownership signal.** Insiders were net sellers of roughly \$108mm over the trailing twelve months, and former CFO David Vinier filed an intent to sell 68k shares. Directional only — insider selling at a large bank is routinely diversification, not a view.

2. INDUSTRY, COMPETITIVE & REGULATORY LANDSCAPE

2.1 The cycle GS is levered to

The operative fact for 2026 is that capital-markets activity has re-accelerated after the 2022-2024 drought, and the proximate cause is the financing of artificial-intelligence infrastructure. Management reported that large-cap corporate M&A volumes rose 90% year-to-date, that GS led roughly \$1.2tn of announced deal volume, and that its investment-banking backlog reached a five-year high, driven by a record advisory backlog. Debt underwriting was a record in 2Q26 on leveraged finance and asset-backed activity. The scale of the financing need is visible elsewhere in the market: press reporting in August 2026 described Broadcom seeking more than \$60bn of debt to fund chips for Anthropic, with European operators financing data centres the same way. GS is a primary beneficiary of that flow, and correspondingly exposed if it stops.

2.2 Competitive position

Firm	Latest ROTE / ROTCE	P / tangible book	Positioning
Goldman Sachs	25.5% (2Q26 ann.)	3.07x (28-Aug)	#1 in announced and completed M&A, equity and equity-related offerings and leveraged lending; #2 in high-yield debt (Dealogic, 1H26)
Morgan Stanley	26.6% (2Q26 ann.)	~4.03x (~24-Aug)	Record \$21.35bn 2Q26 revenue; wealth management revenue \$8.86bn with record \$148.1bn net new assets — a far more fee-based mix
JPMorgan Chase	23% (1Q26 ann.)	3.27x (19-Jul)	\$16.5bn quarterly net income on a deposit-funded balance sheet; the scale and funding-cost benchmark
Bank of America	~18% (2-yr analyst est.)	2.14x (14-Jul)	Lower-return, lower-multiple anchor for the peer regression in Section 4

GS's franchise position is not in doubt — it is the top-ranked M&A adviser and led league tables across equity and leveraged lending in the first half of 2026. What distinguishes it from Morgan Stanley is not quality but composition: Morgan Stanley's wealth franchise generates fee revenue that persists through a downturn, while GS's mix has become *more* markets-weighted over the past year. Historically that difference has shown up as a persistent valuation discount, and it still does.

2.3 The regulatory environment — a genuine tailwind, and a real one

On 19 March 2026 the OCC, Federal Reserve and FDIC jointly issued three proposals that formally rescind the 2023 Basel III Endgame framework: a re-proposed Endgame for Category I and II banks, a revised standardized approach, and a revised G-SIB surcharge methodology. Together they run past 1,500 pages. The direction is unambiguously toward lower requirements. Governor Barr, dissenting, quantified it: the G-SIB surcharge proposal alone would cut CET1 requirements for the largest banks by 3.8%, or \$33bn, and combined with the already-agreed enhanced supplementary leverage ratio reform the total reduction in G-SIB tier 1 requirements is 6.0%, or \$60bn. A Congressional Research Service note put the same package at a 1.6% capital increase for Category I and II banks from Endgame itself, more than offset by other rules, for a net decrease of about 6%.

For a bank whose valuation is ROTE divided by a required-equity denominator, this is not a footnote — it is one of the few mechanisms that could legitimately validate a permanently higher sustainable return. It also has a timeline: the proposals carried a 90-day comment period, and the Fed's Vice Chair for Supervision indicated stress-testing changes would be finalised well before the end of 2026. That makes finalisation a dated, tradeable catalyst rather than a vague theme. The counterweight is that GS has arguably already spent the benefit in advance, taking CET1 from 14.3% to 12.9% in two quarters to fund buybacks.

2.4 Emerging threats

- **Private credit disintermediating leveraged finance.** The same asset-backed and leveraged-finance flow driving record debt underwriting is contestable by direct lenders that do not carry bank capital charges. GS competes on both sides, as underwriter and as an alternatives manager with \$459bn of alternative-investment AUS.
- **Supervisory attention to AI-linked leverage.** The Situational Awareness episode (Section 6) put prime-brokerage lending against concentrated AI-equity collateral directly in front of the SEC. Tighter margin or concentration rules would hit the fastest-growing revenue line in the firm.
- **Active-ETF consolidation.** GS's ETF bolt-ons (Innovator, NEOS) buy it into a top-10 active-ETF position, but into a price-competitive segment where fee compression is the base case.

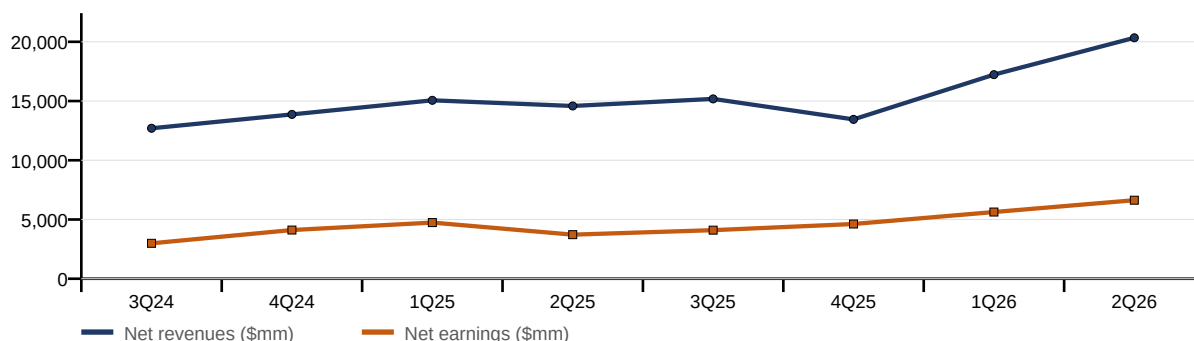
3. FINANCIAL ANALYSIS

3.1 Eight quarters — the acceleration in detail

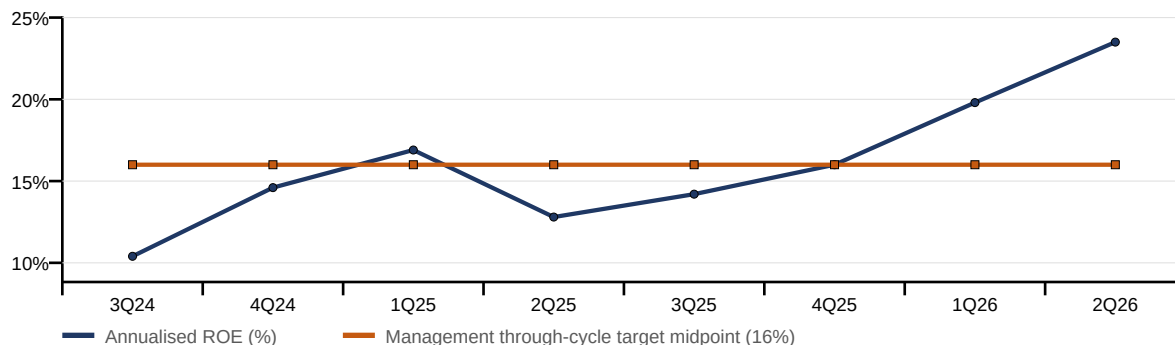
Quarter	Net revenues (\$mm)	Net earnings (\$mm)	Diluted EPS	ROE	ROTE	BVPS
3Q24	12,700	2,990	\$8.40	10.4%	n/a	n/a
4Q24	13,870	4,110	\$11.95	14.6%	15.5%	\$336.77
1Q25	15,060	4,740	\$14.12	16.9%*	n/a	n/a
2Q25	14,583	3,720	\$10.91	12.8%	13.6%*	\$349.74
3Q25	15,180	4,100	\$12.25	14.2%	15.2%	\$353.79
4Q25	13,450	4,620	\$14.01	16.0%	17.1%	\$357.60
1Q26	17,227	5,630	\$17.55	19.8%	21.3%	\$361.19
2Q26	20,338	6,628	\$20.98	23.5%	25.5%	\$367.67

* Derived from disclosed period-over-period changes rather than read directly from a filing — see Section 8. 4Q25's revenue dip is an accounting artefact: \$2.26bn of Apple Card markdowns ran through net revenues when the portfolio moved to held-for-sale, offset below the line by a \$2.48bn reserve release. Adjusted for it, 4Q25 revenue would have been roughly \$15.71bn.

Quarterly net revenues and net earnings (\$mm)



Annualised ROE vs. management's own through-the-cycle target



The chart makes the central question visible. GS spent 3Q24 through 3Q25 oscillating around and mostly below its own 14-16% ROE target. It has spent the last three quarters far above it, and 2Q26 was roughly 7.5 percentage points above the top of the target range. Either the target is now stale and understates the franchise, or the last three

quarters are a cyclical overshoot. Management has not revised the target.

3.2 The part of the return that came from the denominator

A return on equity can rise because earnings rose or because equity fell. At GS over the last two quarters, both happened. The Standardized CET1 ratio went from 14.3% at 4Q25 to 12.5% at 1Q26 and 12.9% at 2Q26; the supplementary leverage ratio fell from 5.2% to 4.3%. The firm returned \$5.36bn to common shareholders in 2Q26 alone and \$6.38bn in 1Q26 — \$11.7bn across the half against \$11.8bn of net earnings to common, before the goodwill consumed by acquisitions. Capital deployment of that intensity is a management decision with a real limit: a bank cannot draw its CET1 ratio down indefinitely, and the portion of the ROTE improvement that came from a shrinking denominator is not repeatable in the same way that a genuinely larger revenue base would be.

3.3 The driver model — sustainable ROTE to justified price/tangible book

For a bank the standard relationship is $P/TBV = (ROTE - g) / (COE - g)$, where g is long-run growth in tangible book per share and COE is the cost of equity. It is the Gordon growth model rewritten for an institution whose growth is funded by retained earnings on the same book the multiple applies to. The companion Excel model builds this out with two heat-mapped sensitivity grids; the table below shows the anchors and the base case.

Input	Value	Basis
2Q26 tangible book value per share	\$336.61	Disclosed, 2Q26 earnings presentation
2Q26 annualised ROTE	25.5%	Disclosed
1H26 year-to-date ROTE	23.4%	Disclosed
FY2025 ROTE / FY2024 ROTE	16.0% / 13.5%	Disclosed
Management through-cycle ROTE target	15-17%	Stated on the 1Q26 earnings call
Base-case sustainable ROTE	19.0%	This model's judgment — above the target, below spot
Base-case cost of equity	10.5%	Judgment. Not a CAPM build-up — see the gap note in Section 8
Base-case long-run g	4.0%	Judgment, constrained by the buyback arithmetic below
Base-case justified P/TBV	2.31x	Formula output
Market-implied sustainable ROTE at 3.07x	~24.0%	Reverse-engineered at the same COE and g

That last row is the single most useful number in this report. At a 10.5% cost of equity and 4% long-run growth, today's price is not paying for a 16%-ROTE bank; it is paying for one that earns roughly 24% on tangible equity indefinitely. Nowhere in the 14-18% ROTE band — which spans management's own target and the FY2024 and FY2025 actuals — does any cost-of-equity assumption between 9% and 12% produce today's price.

3.4 Why growth in tangible book is the hidden constraint

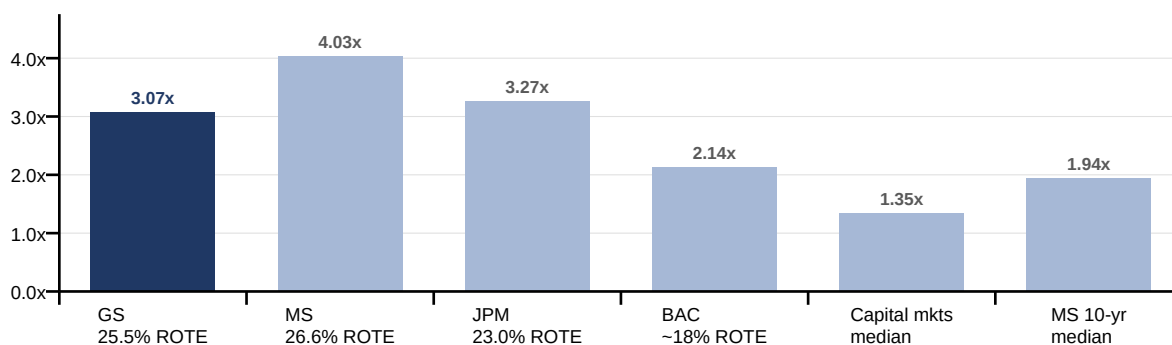
Buying back stock above tangible book value is accretive to earnings per share and to ROTE, and dilutive to tangible book value per share. GS repurchased 4.1mm shares in 2Q26 at an average of roughly \$976 — about 2.9x the tangible book it was retiring. The evidence is in the disclosed figures: across the first half of 2026, book value per share rose 2.8% while *tangible* book value per share rose 0.3%, from \$335.49 to \$336.61, the gap being acquisition goodwill from Industry Ventures and Innovator plus buybacks executed far above book. Rolling that policy forward — \$20.0bn of net earnings to common over the next twelve months, \$5.9bn of dividends and \$16.0bn of buybacks at today's price — implies a total payout ratio of about 110%, a shrinking tangible equity base, and tangible book per share growing only about 3.5% to roughly \$348. A high-ROTE, low- g bank is worth materially less than the spot ROTE alone would suggest, and that is exactly what the second sensitivity grid in the Excel model shows.

4. VALUATION

4.1 Peer multiples — and the finding that cuts the other way

EV/Revenue and EV/EBITDA are excluded deliberately: they are not meaningful for a bank holding company. The comparison below is price to tangible book against return on tangible common equity, which is how the sector is actually valued. The as-of dates differ by up to six weeks and could not be pulled same-day — treat the multiples as indicative.

Price / tangible book — GS against peers and against sector medians



This chart is the strongest argument against the driver model's conclusion. GS earns a ROTE within a point of Morgan Stanley's and above JPMorgan's, yet trades at a lower multiple of tangible book than either. A defensible reason exists — GS's earnings are far more cyclical, so a lower multiple on the same spot return is not obviously mispricing — but it means the bear case has to rest on returns normalising, not on the stock being expensive relative to its group today. It is also worth noticing how far the whole group has re-rated: Morgan Stanley's own ten-year median price/tangible book is 1.94x, and the Capital Markets industry median is 1.35x. Every name in this comparison is trading at a large premium to its own history, which is a statement about the cycle rather than about any one firm.

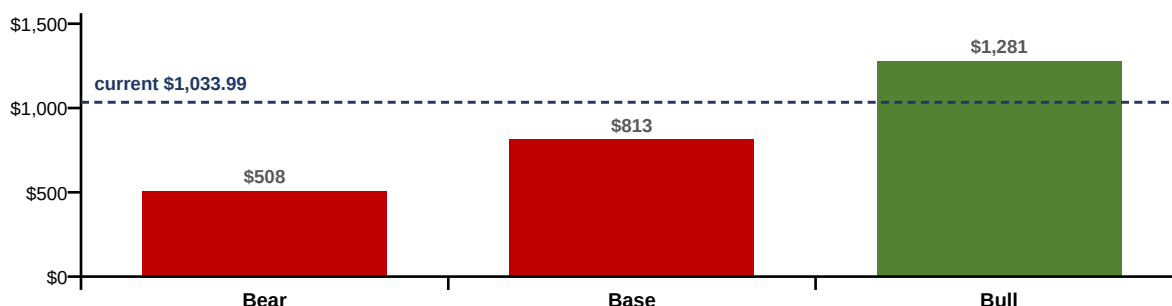
4.2 Two methods, one assumption

Both valuation methods in the companion model are driven off the same variable — sustainable ROTE — so that they can be reconciled rather than merely compared. Method 1 is the Gordon relationship above. Method 2 fits a line through the peer set's P/TBV against ROTE (anchored on Bank of America and Morgan Stanley) and reads off the multiple the group assigns to a given return. Both are applied to a twelve-month forward tangible book value per share of about \$348, derived from the roll-forward in Section 3.4.

	Bear	Base	Bull
Sustainable through-cycle ROTE	15.0%	19.0%	24.0%
Cost of equity	11.5%	10.5%	9.5%
Long-run growth in tangible book (g)	3.5%	4.0%	4.5%
Method 1 — justified P/TBV (Gordon)	1.44x	2.31x	3.90x
Method 1 — implied share price	\$501	\$804	\$1,358
Method 2 — peer-regression P/TBV	1.48x	2.36x	3.46x
Method 2 — implied share price	\$516	\$822	\$1,204
Blended implied share price	\$508	\$813	\$1,281

	Bear	Base	Bull
Upside / (downside) vs. \$1,033.99	(51)%	(21)%	+24%
Probability weight (this model's judgment)	25%	50%	25%

Blended scenario price targets vs. current price



The probability-weighted blended target is roughly \$854, about 17% below the current price. That number should be read as an output of the assumptions above, not as a forecast — and the honest reading is that the two methods do not disagree about Goldman Sachs at all. Run Method 2 at GS's *spot* 25.5% ROTE and the peer regression implies about 3.8x tangible book, comfortably above today's price. Run it at a normalised 19% and it implies 2.36x, within a rounding error of the Gordon model's 2.31x. The methods agree on the mapping from returns to multiples; the entire disagreement is about whether 2Q26 is the run-rate. Nothing in this framework resolves that, and a reader who believes the AI-financing cycle has several more years to run should weight the Bull column accordingly.

4.3 Sell-side coverage

Date	Firm	Rating	Target	Note
30-Jun-2026	Oppenheimer (Kotowski)	Underperform	n/a	Downgraded from Perform; also cut BAC and C, citing names running ahead of fundamentals
~14-Jul-2026	JPMorgan	Neutral	\$900	Materially below the broader consensus range
~Aug-2026	Morgan Stanley	Equal Weight	\$1,021	Target lowered from \$1,078
Consensus	25 analysts	Hold	\$1,141.65	stockanalysis.com; a second source cites \$1,150 across the same 25

The spread is the signal. Visible targets run from \$900 to a consensus near \$1,142 — a range worth roughly 27% of the share price — with at least one outright Underperform and two of the three named houses below the current price. Note also the direction of the disagreement with this report: the consensus target sits *above* the current price, meaning the street implicitly underwrites something close to the Bull column in Section 4.2. That is a material difference of view and the reader should weigh it rather than dismiss it.

5. TECHNICAL ANALYSIS

5.1 Price structure

Observed closing prices with mid-August moving-average levels

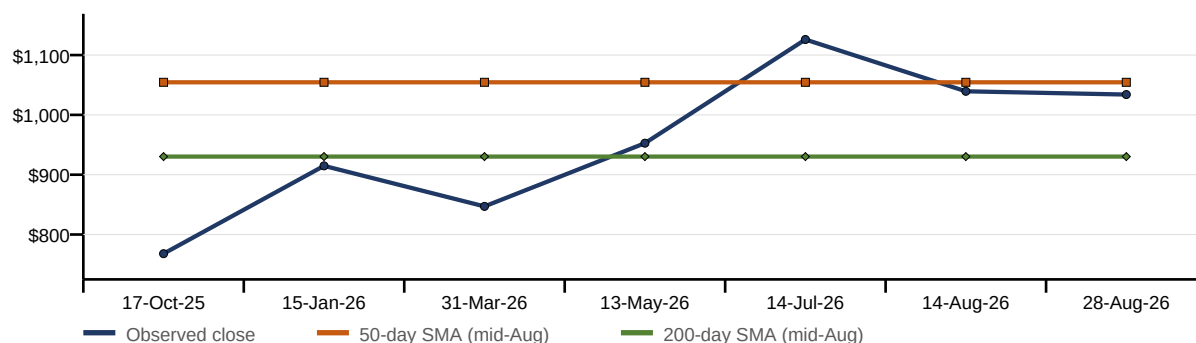


Chart note: these are the seven dated closing observations that could be sourced, not a continuous daily series, and the two moving averages are single mid-August readings drawn as flat reference levels rather than as their own time series. Read it for structure, not for path.

The primary uptrend is intact and the shorter-term picture is not. A golden cross is in place — the 50-day sits at \$1,054 against a 200-day near \$930 — and price is roughly 11% above the 200-day. But price is *below* the 50-day, MACD is negative at -4.13 and RSI sits near 48, which is the signature of a stock digesting a very large advance rather than extending it. The stock has round-tripped roughly 8% from the \$1,126 post-earnings spike on 14 July back to the low \$1,030s and has been oscillating there since. In range terms it sits about 79% of the way up its 52-week band.

5.2 Key levels

Level	Value	Significance
52-week high	\$1,125.00	Set intraday on 14-Jul-2026 on the 2Q26 print; the obvious overhead resistance
Bollinger (25) upper	\$1,091.57	Near-term ceiling of the current consolidation
50-day SMA	\$1,054.48	Immediate resistance — price is currently below it
50-day EMA	\$1,035.76	Price is oscillating around this level
Bollinger (25) lower	\$1,018.81	First short-term support
2Q26 average buyback price	~\$975.61	The company itself repurchased 4.1mm shares here — a soft demand floor while the programme runs
200-day SMA	\$930.29	First structural support, roughly 10% below spot
52-week low	\$691.30	Reference only — set well before the earnings inflection

5.3 Volatility, options positioning and short interest

This subsection cannot be completed honestly. No dated implied-volatility reading, no options open-interest or put/call skew data, and no short-interest percentage of float were obtainable from the public sources used for this report. Rather than substitute a plausible-sounding figure, the gap is recorded here and in Section 8. A reader who needs positioning data should pull it from an options-chain provider directly. What is available: free float of 289.53mm shares against 298.4mm basic shares outstanding, and insiders as net sellers of roughly \$108mm over the trailing twelve months.

5.4 Indicator disagreement

Three sources quoted RSI(14) at 47.92, 48.75 and 59.74 within the same fortnight, and one provider reported a 200-day SMA of \$860.58 against a price of \$1,092.61 when others showed roughly \$930. Aggregator technical panels for this name are demonstrably unreliable at present; every level above should be re-read off a live chart before being used.

6. CATALYST CALENDAR

6.1 Historical catalysts and how the stock reacted

Date	Event	Reaction / effect
15-Jan-2026	FY2025 results: net revenues \$58.28bn, EPS \$51.32, ROE 15.0%. Q4 revenue of \$13.45bn missed on \$2.26bn of Apple Card markdowns; EPS beat on a \$2.48bn reserve release.	Fell ~1.9% pre-market to ~\$914.78 despite the EPS beat — the market focused on the revenue line
19-Mar-2026	US agencies propose Basel III Endgame re-proposal, revised G-SIB surcharge and revised standardized approach.	Sector-wide capital-relief tailwind; Governor Barr dissented, quantifying a ~6.0% (\$60bn) cut to G-SIB tier 1 requirements
13-Apr-2026	1Q26 results: net revenues \$17.23bn, EPS \$17.55, ROE 19.8%, ROTE 21.3%; record GBM revenues of \$12.7bn.	Second-highest quarter in firm history at the time; the re-rating begins
30-Jun-2026	Oppenheimer downgrades GS from Perform to Underperform.	Explicit call that the name had run ahead of fundamentals
14-Jul-2026	2Q26 results: record net revenues \$20.34bn and EPS \$20.98; ~46% EPS beat; dividend raised 11% to \$5.00.	Rose ~7.7% to ~\$1,126 — the 52-week high. Has not exceeded it since
10-Aug-2026	Sao Paulo civil police accuse two Goldman representatives of fraud in the Oncoclinicas tender-offer dispute.	Headline legal risk; no financial quantification disclosed
12-Aug-2026	Agrees to acquire ETF provider NEOS Investments for up to ~\$2.25-2.3bn.	Adds fee-based AUS — and goodwill, which dilutes tangible book
24-Aug-2026	SEC subpoenas GS, JPM, C and BAC over prime-brokerage dealings with Situational Awareness.	No allegation of wrongdoing; inquiry at its earliest stage

6.2 Forward catalysts

Expected	Event	Why it matters
Mid-Oct 2026	3Q26 results (GS reported mid-October in each of the last two years).	The single biggest test of the thesis. Watch the investment-banking backlog — management says it is at a five-year high — and whether equities financing holds its record run-rate
2H 2026	Finalisation of the March 2026 capital proposals after the 90-day comment period; stress-testing changes signalled for 'well before the end of the year'.	Lower required capital raises sustainable ROTE mechanically. This is the one lever that could legitimately validate the market's ~24% implied ROTE
2H 2026 / 2027	Completion of the Apple Card programme transition; the portfolio has been held for sale since 4Q25.	Removes a persistently negative revenue line and a recurring source of quarter-to-quarter noise in Platform Solutions
Ongoing	Progress of the SEC inquiry into prime-brokerage exposure to leveraged AI funds.	Equities financing was a record \$3.26bn in 2Q26. Tighter margin or concentration requirements would hit the fastest-growing revenue line in the firm
Ongoing	Closing and integration of NEOS; further asset-management bolt-ons.	Shifts mix toward fee revenue, but each deal adds goodwill and suppresses tangible book growth
Reported for Oct 2026	A potential Anthropic listing, cited in press coverage as targeting as early as October 2026 at a reported valuation of up to \$2tn.	Press speculation, not a confirmed or scheduled event — read as an indicator of the ECM pipeline rather than as a dated catalyst

7. KEY RISKS

- **The cycle is the company.** Global Banking & Markets produced 76% of 2Q26 net revenues, up from ~69% a year earlier, and within it the fastest-growing lines are equities intermediation and financing. A capital-markets slowdown does not trim GS's earnings; it removes the layer that took ROE from 12.8% to 23.5%. The Bear case in Section 4.2 is not a stress scenario — a 15% ROTE is the bottom of management's own published through-cycle target.
- **Concentrated, correlated collateral in prime brokerage.** Situational Awareness fell from roughly \$45bn to \$10bn in July 2026 at reported leverage of up to 400%, forcing a fire-sale of its public book to Citadel at a reported ~10% discount, with GS among its lenders. The SEC has subpoenaed GS, JPM, C and BAC for records on trade timing, leverage and lender communications. No wrongdoing has been alleged. But the precedent is Archegos in 2021, where GS, Morgan Stanley and Wells Fargo eventually settled a conflict-of-interest suit for \$120mm — and the structural point is that record equities-financing revenue and concentrated AI-equity collateral are the same fact seen from two sides.
- **Capital return running ahead of capital generation.** Total payout is running above 100% of earnings, funded by taking the Standardized CET1 ratio from 14.3% to 12.9% and the SLR from 5.2% to 4.3% in two quarters. If the March 2026 capital proposals are diluted, delayed or reversed before finalisation, the buyback capacity that supports both EPS growth and the share price becomes constrained precisely when it is most relied upon.
- **Buybacks above 3x tangible book cap the growth term.** Repurchasing at roughly 2.9-3.1x tangible book raises ROTE and EPS while suppressing growth in tangible book per share — which grew 0.3% over 1H26 against 2.8% for reported book value. In the Gordon framework a lower g directly lowers the justified multiple, so the policy that flatters the return also erodes the multiple that return earns.
- **Acquisition goodwill.** Four asset-management acquisitions in a year (Industry Ventures, Innovator, LCN Capital, NEOS) shift mix toward fee revenue but add goodwill and intangibles that are deducted from tangible common equity and carry zero regulatory capital value. Intangibles per share rose from about \$22 at 4Q25 to about \$31 at 2Q26.
- **Legal and jurisdictional overhang.** Beyond the SEC inquiry, Sao Paulo civil police formally accused two Goldman representatives of fraud in the Oncoclinicas tender-offer dispute in August 2026. No financial exposure has been quantified publicly.
- **Valuation risk — where bulls and bears actually disagree.** Not over whether GS is a good franchise; it is the top-ranked M&A adviser and led the equity and leveraged-lending league tables in 1H26. The disagreement is entirely over the denominator of the cycle. Bulls argue AI-infrastructure financing is a multi-year capital-formation wave and that deregulation permanently lifts achievable returns, so mid-20s ROTE is a new plateau. Bears argue that a 90% surge in M&A volumes and a 91% jump in prime financing revenue are the definition of a peak, and that management's own unrevised 15-17% target is the more honest anchor. Today's price requires the bull view to be roughly correct.

8. SOURCES & LIMITATIONS

This report was compiled August 30, 2026 from public secondary sources: Goldman Sachs earnings releases and 8-K exhibits (2Q25 through 2Q26) and the 2Q26 earnings results presentation; Federal Reserve and law-firm summaries of the March 2026 capital proposals; Reuters, CNBC, Bloomberg-sourced reporting and other financial media; and data aggregators including stockanalysis.com, GuruFocus, Financhill and StockTitan. It was not built from a live Bloomberg or FactSet terminal. SEC EDGAR's XBRL API and FRED were unreachable from this environment (HTTP 403 at the egress proxy), so filing-level figures were taken from press-release text reproduced by EDGAR-mirroring sources rather than parsed from XBRL. A complete source list with URLs is on the Sources & Notes tab of the companion Excel model.

Data-quality flags — verify these specifically before relying on them

- **Market capitalisation.** Four sources gave \$301.07bn, \$305.39bn, \$311.29bn and \$314.70bn. This report uses ~\$309bn, computed from 298.4mm basic shares at \$1,033.99. The unreconciled spread is about \$14bn.
- **Revenue definition.** stockanalysis.com displays both \$58,283mm and \$59,396mm for FY2025 on the same page, because its S&P Global feed and its Fiscal.ai segment feed use different definitions. This report uses the GS-reported *net revenues* series (\$58.28bn FY2025, \$53.51bn FY2024), which ties to the company's own press releases. TipRanks separately shows FY2024 'total revenue' of \$126.85bn, which is gross interest-inclusive and not comparable.
- **Net earnings vs net earnings to common.** FY2025 net earnings were \$17.18bn per the company; aggregators show \$16.24bn. The difference is preferred dividends. Both are right for their definition; EPS is computed off the latter.
- **Stale aggregator quotes.** TipRanks peer-comparison pages served GS at \$786-\$804 and JPM at \$260-\$316 during this research, i.e. cached from late 2025. A March 2026 FIG valuation guide states GS trades at 'approximately 1.6x' price/tangible book; recomputed from the company's own disclosed 2Q26 TBVPS and the 28 August close, the figure is ~3.07x. Any single-source multiple in this sector should be recomputed from price and disclosed book value.
- **Derived, not disclosed.** 1Q25 ROE (16.9%), 2Q25 ROTE (13.6%), and 2Q25/1Q26 provisions, operating expenses, pre-tax earnings, net earnings to common and efficiency ratios are computed from disclosed percentage changes rather than read directly from a filing. They are flagged inline in the Excel model.
- **52-week range.** heygotrade shows \$691.30-\$1,125.00; Robinhood showed \$439.38-\$984.70 as at 31-Mar-2026; an investing.com note in January 2026 cited a 52-week high of \$972.24. Consistent with a rolling window, but confirm the current one.
- **Technical indicators conflict.** RSI(14) was quoted at 47.92, 48.75 and 59.74 within one fortnight; one provider showed a 200-day SMA of \$860.58 against a price of \$1,092.61 when others showed ~\$930.
- **Gaps not closed.** No dated implied volatility, options open interest, put/call skew, or short interest as a percentage of float was obtained. No dated risk-free rate was obtainable (FRED unreachable), so the 10.5% cost of equity in the driver model is a judgment input rather than a CAPM build-up. Peer data for Citigroup, Wells Fargo and Charles Schwab could not be sourced same-day and those names were excluded from the comps table rather than estimated.
- **Forward estimates.** The \$20.0bn next-twelve-month net-earnings-to-common assumption in the tangible book roll-forward is this model's own figure, cross-checked against a 14.82x forward P/E implying roughly \$69.8 of forward EPS. It is not a published consensus number. The 25/50/25 scenario probabilities are this model's stated judgment, not a market-implied distribution.

- **Unconfirmed events.** The Anthropic listing referenced in Section 6.2 is press speculation reported in coverage of the Situational Awareness episode, not a company-confirmed or scheduled event. The Morgan Stanley price-target date is approximate.

This is not investment advice. This report is an educational/informational document produced with AI research assistance, not a licensed analyst's opinion, and should not be the sole basis for any investment decision. The valuation outputs are arithmetic consequences of stated assumptions, and small changes to the sustainable-ROTE assumption move the implied price by hundreds of dollars per share. Do your own due diligence, verify load-bearing figures against primary sources, and consider consulting a licensed financial advisor before making any investment decision.